

fillip to household spending.



Will there be a sustained recovery in private investment going forward?

Public capex is helping crowd in private investment. As per reports, corporate investment announcements between April and September have surged to a decade high of ₹15.1 lakh crore, driven primarily by strong commitments from manufacturing firms. This signals renewed business confidence, supported by improving demand conditions, policy stability, and a push towards capacity expansion.



Is the fall in the Indian currency a cause for concern?

The recent weakening of the rupee is better understood as a reflection of cyclical capital flow dynamics rather than a structural concern. External sector fundamentals remain broadly stable: India's current account deficit (CAD) narrowed to \$15 billion or 0.8% of GDP in the first half of FY26 from 1.3% of GDP in the first half of FY25. While the CAD may have widened in Q2 of FY26, it remains well within manageable limits and does not point to an imbalance. A measured depreciation

of the rupee also acts as a macroeconomic shock absorber, improving export competitiveness and contributing over time to narrowing of the CAD. At the same time, in November, merchandise exports increased 19.37% and merchandise trade deficit narrowed to \$24.53 billion while the overall deficit narrowed to \$6.64 billion.

On capital flows, foreign portfolio investment (FPI) is inherently volatile and closely linked to global risk sentiment and monetary conditions in advanced economies.

which enhances policy credibility.



What steps can be taken to boost FDI?

The recent Labour Codes, ongoing non-financial regulatory reforms, trade agreements, and capital outlays together strengthen India's ease of doing business. This must be complemented by faster clearances at the state level, deeper integration with global value chains through trade agreements and efficient logistics under PM Gati Shakti and the

like rule-based trade like under the WTO, which has benefitted most economies. India too has benefitted from globalisation over the last 30 years. But now most countries are turning protectionist. India is following flexible multilateralism—we are friendly with Russia, the US, China and others keeping our national interest in mind. The focus on Aatmanirbhar and Swadeshi domestic manufacturing, especially of components like semiconductors, chips and critical minerals, stems from this.

RATHER THAN ATTEMPTING TO DIRECTLY REGULATE INFORMALITY, THE FOUR LABOUR CODES EXPAND THE FORMAL SECTOR ITSELF

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Temporary outflows, therefore, should not be overinterpreted. Given India's strong growth outlook, improving inflation dynamics, and record of fiscal responsibility, FPI inflows can be expected to return as global conditions stabilise.

This assessment is reinforced by the government's commitment to fiscal consolidation and the move towards adopting central government debt as the fiscal anchor with a clear glide path,

National Logistics Policy. Coupled with sustained macroeconomic stability, strong growth prospects, and a large, formalising workforce, these measures can reinforce investor confidence and position India as a preferred destination for long-term, productivity-enhancing FDI.



The global trade order has changed. How much will these tariffs impact India?

Economists generally

India's share in world trade in goods is 2%. Even if global trade does not increase much, India can increase its share by diversifying to other countries. The November trade data shows that despite tariffs our exports have risen. Our approach on tariffs is to try and help the affected industries, diversify to other markets, hasten FTA negotiations and continue dialogue with the US. **BT**

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